

Clark County, Arkansas

Regulatory Basis Financial Statements and Other Reports

December 31, 2012

LEGISLATIVE JOINT AUDITING COMMITTEE



CLARK COUNTY, ARKANSAS
TABLE OF CONTENTS
FOR THE YEAR ENDED DECEMBER 31, 2012

Independent Auditor's Report

Report on Internal Control Over Financial Reporting, Compliance and Other Matters, and Other Issues Based on an Audit of Financial Statements Performed in Accordance with *Government Auditing Standards*

REGULATORY BASIS FINANCIAL STATEMENTS

	<u>Exhibit</u>
Balance Sheet – Regulatory Basis	A
Statement of Revenues, Expenditures, and Changes in Fund Balances – Regulatory Basis	B
Statement of Revenues, Expenditures, and Changes in Fund Balances – Budget and Actual – General and Street Funds – Regulatory Basis	C
Notes to Financial Statements	

SUPPLEMENTARY INFORMATION

	<u>Schedule</u>
Combining Balance Sheet – Other Funds in the Aggregate – Regulatory Basis	1
Combining Statement of Revenues, Expenditures, and Changes in Fund Balances – Other Funds in the Aggregate – Regulatory Basis	2
Notes to Schedules 1 and 2	

OTHER INFORMATION

Schedule of Capital Assets (Unaudited)	3
Schedule of Selected Information for the Last Five Years – Regulatory Basis (Unaudited)	4

Sen. Bryan B. King
Senate Chair
Rep. Kim Hammer
House Chair
Sen. Linda Chesterfield
Senate Vice Chair
Rep. John W. Walker
House Vice Chair

Arkansas



Roger A. Norman, JD, CPA, CFE
Legislative Auditor

LEGISLATIVE JOINT AUDITING COMMITTEE DIVISION OF LEGISLATIVE AUDIT

INDEPENDENT AUDITOR'S REPORT

Clark County, Arkansas Officials and Quorum Court Members
Legislative Joint Auditing Committee

Report on the Financial Statements

We have audited the accompanying regulatory basis financial statements of the general fund, road fund, and other funds in the aggregate of Clark County, Arkansas, as of and for the year ended December 31, 2012, as listed in the table of contents, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with the financial reporting provisions of Arkansas Code, as described in Note 1, to meet the requirements permitted by the State of Arkansas. Management is also responsible for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances but not for the purpose of expressing an opinion on the effectiveness of the entity's internal controls. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our adverse and qualified audit opinions.

Basis for Adverse Opinion on U.S. Generally Accepted Accounting Principles

As described in Note 1 to the financial statements, to meet the financial reporting requirements permitted by the State of Arkansas, the financial statements are prepared by the County on the basis of the financial reporting provisions of Arkansas Code, which is a basis of accounting other than accounting principles generally accepted in the United States of America.

The effects on the financial statements of the variances between the regulatory basis of accounting described in Note 1 and accounting principles generally accepted in the United States of America, although not reasonably determinable, are presumed to be material.

Adverse Opinion on U.S. Generally Accepted Accounting Principles

In our opinion, because of the significance of the matter discussed in the Basis for Adverse Opinion on Generally Accepted Accounting Principles paragraphs, the financial statements referred to above do not present fairly, in accordance with accounting principles generally accepted in the United States of America, the financial position of Clark County, Arkansas, as of December 31, 2012, or the revenues, expenditures, and changes in net position and when applicable, cash flows, thereof for the year then ended.

Basis for Qualified Opinion on Regulatory Basis of Accounting

The County's financial statements do not disclose all the required information concerning deposit risks. In our opinion, disclosure of this information is required by the regulatory basis of accounting described in Note 1.

Opinion on Regulatory Basis of Accounting

In our opinion, except for the omission of the information described in the Basis for Qualified Opinion on Regulatory Basis of Accounting paragraph, the financial statements referred to above present fairly, in all material respects, the regulatory basis financial position of the general fund, road fund, and other funds in the aggregate of Clark County, Arkansas, as of December 31, 2012, and the regulatory basis revenues, expenditures, and changes in net position, and the budgetary comparisons for the general fund and road fund for the year then ended in accordance with the financial reporting provisions of the Arkansas Code described in Note 1.

Supplementary and Other Information

Our audit was conducted for the purpose of forming opinions on the accompanying regulatory basis financial statements. The accompanying supplementary information and other information listed in the table of contents are presented for purposes of additional analysis and are not a required part of the financial statements.

The supplementary information is the responsibility of management and was derived from, and relates directly to, the underlying accounting and other records used to prepare the financial statements. Such information has been subjected to the auditing procedures applied in the audit of the regulatory basis financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, except for the omission of the information described above, the information is fairly stated in all material respects in relation to the regulatory basis financial statements as a whole on the basis of accounting described in Note 1.

The other information has not been subjected to the auditing procedures applied in the audit of the regulatory basis financial statements, and accordingly, we do not express an opinion or provide any assurance on such information.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated December 18, 2013 on our consideration of the County's internal control over financial reporting and on our tests of its compliance with certain provisions of the state constitution, laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the County's internal control over financial reporting and compliance.

DIVISION OF LEGISLATIVE AUDIT



Roger A. Norman, JD, CPA, CFE
Legislative Auditor

Little Rock, Arkansas
December 18, 2013
LOCO01012

Sen. Bryan B. King
Senate Chair
Rep. Kim Hammer
House Chair
Sen. Linda Chesterfield
Senate Vice Chair
Rep. John W. Walker
House Vice Chair

Arkansas



Roger A. Norman, JD, CPA, CFE
Legislative Auditor

LEGISLATIVE JOINT AUDITING COMMITTEE DIVISION OF LEGISLATIVE AUDIT

REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING, COMPLIANCE AND OTHER MATTERS, AND OTHER ISSUES BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH GOVERNMENT AUDITING STANDARDS

INDEPENDENT AUDITOR'S REPORT

Clark County, Arkansas Officials and Quorum Court Members
Legislative Joint Auditing Committee

We have audited in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the accompanying regulatory basis financial statements of the general fund, road fund, and other funds in the aggregate of Clark County, Arkansas, as of and for the year ended December 31, 2012, and the related notes to the financial statements, and have issued our report thereon dated December 18, 2013. We issued an adverse opinion because the financial statements are prepared by the County on the basis of the financial reporting provisions of Arkansas Code, which is a basis of accounting other than accounting principles generally accepted in the United States of America. The effect on the financial statements of the variances between the regulatory basis of accounting described in Note 1 and accounting principles generally accepted in the United States of America, although not reasonably determinable, are presumed to be material. However, with respect to the regulatory basis of accounting described in Note 1, our opinions on the general fund, road fund, and other funds in the aggregate were qualified because required disclosures were not made concerning deposit risks.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the County's internal control over financial reporting to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the County's internal control over financial reporting. Accordingly, we do not express an opinion on the effectiveness of the County's internal control over financial reporting.

Our consideration of internal control over financial reporting was for the limited purpose described in the preceding paragraph and was not designed to identify all deficiencies in internal control over financial reporting that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified. However, as discussed below, we identified a certain deficiency in internal control over financial reporting that we consider to be a material weakness.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the County's financial statements will not be prevented, or detected and corrected on a timely basis. We consider the following deficiency to be a material weakness.

2012-1 To ensure the proper safeguarding of assets, financial accounting duties relating to initiating, receipting, depositing, disbursing, and recording transactions should be distributed among appropriate employees. The County officials, as specified in the Other Issues section of this report, did not segregate these duties to sufficiently reduce the risks of fraud or error and properly safeguard the County's assets, because of limited financial resources. We recommend that the financial accounting duties in each office be segregated among employees to the extent possible.

The County officials, as specified in the Other Issues section of this report, responded and indicated that their offices will segregate the duties relating to initiating, receipting, depositing, disbursing, and recording transactions to the extent possible with the current staffing levels.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the County's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of the state constitution, laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Entity's Response to Findings

The County's response to the findings identified in our audit is described above. The County's response was not subjected to the auditing procedures applied in the audit of the financial statements, and accordingly, we express no opinion on it.

Other Issues

The following issues are not significant deficiencies, material weaknesses, or material instances of noncompliance, but are issues that are presented to assist in the efficient operation of the County.

The commentary contained in this section relates to the following officials that held office during 2012:

County Judge: Ron Daniell
Treasurer: Judy Beth Hutcherson
Sheriff and Tax Collector: Jason Watson
County Clerk: Rhonda Cole
Circuit Clerk: Martha Smith
Assessor: Kasey Summerville
County Librarian: Judy Golden

Our audit procedures indicated that the Offices of **Treasurer, Sheriff and Tax Collector, County Clerk, Circuit Clerk, Assessor, and County Librarian** were in substantial compliance with Arkansas fiscal and financial laws. Noncompliance with state law and accepted accounting practices was noted in the Office of **County Judge**. Noncompliance with accepted accounting practices was noted in the Office of **Sheriff**.

County Judge

The County paid \$9,600 to District Court Judge Randy Hill for rent, in noncompliance with Ark. Code Ann. § 14-14-1202. The County subsequently passed an authorizing ordinance.

Sheriff

There was no formally documented and approved Disaster Recovery or Business Continuity Plan. This situation could cause the entity to be without computer processing for an extended period of time in the event of a disaster or major interruption and could place undue financial and personnel burdens on the resources of the entity.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the result of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with Government Auditing Standards in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose. However, pursuant to Ark. Code Ann. § 10-4-417, all reports presented to the Legislative Joint Auditing Committee are matters of public record and distribution is not limited.

DIVISION OF LEGISLATIVE AUDIT



June M. Barron, CPA, CFE
Deputy Legislative Auditor

Little Rock, Arkansas
December 18, 2013

CLARK COUNTY, ARKANSAS
BALANCE SHEET - REGULATORY BASIS
DECEMBER 31, 2012

Exhibit A

	<u>General</u>	<u>Road</u>	<u>Other Funds in the Aggregate</u>
ASSETS			
Cash and cash equivalents	\$ 2,199,265	\$ 3,686,576	\$ 4,204,032
Accounts receivable	<u>623,997</u>	<u>209,766</u>	<u>114,904</u>
TOTAL ASSETS	<u><u>\$ 2,823,262</u></u>	<u><u>\$ 3,896,342</u></u>	<u><u>\$ 4,318,936</u></u>
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable	\$ 80,251	\$ 21,983	\$ 76,340
Settlements pending	<u>516</u>	<u>57</u>	<u>1,301,431</u>
Total Liabilities	<u>80,767</u>	<u>22,040</u>	<u>1,377,771</u>
Fund Balances: (Note 7)			
Restricted	11,371	3,873,499	2,168,270
Committed	354,525		766,057
Assigned	952,464	803	6,838
Unassigned	<u>1,424,135</u>	<u>3,874,302</u>	<u>2,941,165</u>
Total Fund Balances	<u>2,742,495</u>	<u>3,874,302</u>	<u>2,941,165</u>
TOTAL LIABILITIES AND FUND BALANCES	<u><u>\$ 2,823,262</u></u>	<u><u>\$ 3,896,342</u></u>	<u><u>\$ 4,318,936</u></u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2012

Exhibit B

	General	Road	Other Funds in the Aggregate
REVENUES			
State aid	\$ 612,482	\$ 1,015,595	\$ 94,026
Federal aid	48,463	378	183,922
Property taxes	769,457	194,764	243,670
Sales taxes	1,556,626	1,380,404	1,461,271
Fines, forfeitures, and costs	366,548		156,916
Interest	12,198	25,152	20,665
Officers' fees	47,019		132,888
Prisoner care	38,954		
Sanitation fees	430,338		
911 surcharges			204,638
Treasurer's commission	128,208		16,794
Collector's commission	138,892		48,500
Taxes apportioned - Assessor's salary and expense	300,037		
Other	476,962	42,237	41,055
TOTAL REVENUES	4,926,184	2,658,530	2,604,345
Less: Treasurer's commission	61,320	45,366	14,144
NET REVENUES	4,864,864	2,613,164	2,590,201
EXPENDITURES			
Current:			
General government	1,536,584		172,985
Law enforcement	1,993,878		690,903
Highways and streets		2,504,803	
Public safety	100,721		312,262
Sanitation	597,944		
Health	65,917		
Recreation and culture	81,247		339,183
Social services	69,644		
Total Current	4,445,935	2,504,803	1,515,333
Debt Service:			
Note principal	14,932		
Note interest	712		
TOTAL EXPENDITURES	4,461,579	2,504,803	1,515,333

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2012

Exhibit B

	<u>General</u>	<u>Road</u>	<u>Other Funds in the Aggregate</u>
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	<u>\$ 403,285</u>	<u>\$ 108,361</u>	<u>\$ 1,074,868</u>
OTHER FINANCING SOURCES (USES)			
Transfers in	21,388		28,000
Transfers out	(28,000)		(21,388)
Sales taxes remitted to Economic Development Corporation			<u>(1,461,271)</u>
TOTAL OTHER FINANCING SOURCES (USES)	<u>(6,612)</u>		<u>(1,454,659)</u>
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	396,673	108,361	(379,791)
FUND BALANCES - JANUARY 1	<u>2,345,822</u>	<u>3,765,941</u>	<u>3,320,956</u>
FUND BALANCES - DECEMBER 31	<u><u>\$ 2,742,495</u></u>	<u><u>\$ 3,874,302</u></u>	<u><u>\$ 2,941,165</u></u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
BUDGET AND ACTUAL - GENERAL AND ROAD FUNDS - REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2012

Exhibit C

	General			Road		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
REVENUES						
State aid	\$ 556,282	\$ 612,482	\$ 56,200	\$ 1,034,000	\$ 1,015,595	\$ (18,405)
Federal aid	46,200	48,463	2,263	10,500	378	(10,122)
Property taxes	662,220	769,457	107,237	160,000	194,764	34,764
Sales taxes	1,563,000	1,556,626	(6,374)	1,300,000	1,380,404	80,404
Fines, forfeitures, and costs	338,450	366,548	28,098			
Interest	16,000	12,198	(3,802)	30,000	25,152	(4,848)
Officers' fees	28,000	47,019	19,019			
Prisoner care	120,000	38,954	(81,046)			
Sanitation fees	450,000	430,338	(19,662)			
Insurance premiums collected	20,000	0	(20,000)			
Treasurer's commission	111,000	128,208	17,208			
Collector's commission	100,000	138,892	38,892			
Taxes apportioned - Assessor's salary and expense	280,000	300,037	20,037			
Other	578,167	476,962	(101,205)	67,000	42,237	(24,763)
TOTAL REVENUES	4,869,319	4,926,184	56,865	2,601,500	2,658,530	57,030
Less: Treasurer's commission		61,320	(61,320)		45,366	(45,366)
NET REVENUES	4,869,319	4,864,864	(4,455)	2,601,500	2,613,164	11,664
EXPENDITURES						
Current:						
General government	1,770,013	1,536,584	233,429			
Law enforcement	2,186,583	1,993,878	192,705			
Highways and streets				3,802,954	2,504,803	1,298,151
Public safety	103,623	100,721	2,902			
Sanitation	935,517	597,944	337,573			
Health	67,275	65,917	1,358			
Recreation and culture	87,698	81,247	6,451			
Social services	71,067	69,644	1,423			
Total Current	5,221,776	4,445,935	775,841	3,802,954	2,504,803	1,298,151
Debt Service:						
Note principal		14,932	(14,932)			
Note interest		712	(712)			
TOTAL EXPENDITURES	5,221,776	4,461,579	760,197	3,802,954	2,504,803	1,298,151

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
BUDGET AND ACTUAL - GENERAL AND ROAD FUNDS - REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2012

Exhibit C

	General			Road		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	<u>\$ (352,457)</u>	<u>\$ 403,285</u>	<u>\$ 755,742</u>	<u>\$ (1,201,454)</u>	<u>\$ 108,361</u>	<u>\$ 1,309,815</u>
OTHER FINANCING SOURCES (USES)						
Transfers in	41,389	21,388	(20,001)			
Transfers out	<u>(33,000)</u>	<u>(28,000)</u>	<u>5,000</u>			
TOTAL OTHER FINANCING SOURCES (USES)	<u>8,389</u>	<u>(6,612)</u>	<u>(15,001)</u>			
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(344,068)	396,673	740,741	(1,201,454)	108,361	1,309,815
FUND BALANCES - JANUARY 1	<u>1,300,000</u>	<u>2,345,822</u>	<u>1,045,822</u>	<u>3,000,000</u>	<u>3,765,941</u>	<u>765,941</u>
FUND BALANCES - DECEMBER 31	<u><u>\$ 955,932</u></u>	<u><u>\$ 2,742,495</u></u>	<u><u>\$ 1,786,563</u></u>	<u><u>\$ 1,798,546</u></u>	<u><u>\$ 3,874,302</u></u>	<u><u>\$ 2,075,756</u></u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2012

NOTE 1: Summary of Significant Accounting Policies

A. Financial Reporting Entity

The County is a political subdivision of the state governed by an elected quorum court. The reporting entity includes all the funds of the County.

B. Basis of Presentation - Regulatory Fund Accounting

The financial statements are presented in accordance with the regulatory basis of presentation as prescribed or permitted by Arkansas Code. The law requires that the financial statements be presented on a fund basis with, as a minimum, the general fund and road fund presented separately with all other funds included in the financial statements presented in the aggregate. This law also stipulates that the financial statements consist of a balance sheet; a statement of revenues, expenditures, and changes in fund balances; a comparison of the final adopted budget to actual expenditures for the general and road funds; notes to financial statements; and a supplemental schedule of capital assets.

A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts recording cash and other financial resources, together with related liabilities and residual balances, and changes therein, which are segregated for purposes of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations.

The following types of funds are recognized in the accompanying regulatory basis financial statements.

General Fund - The General Fund is used to account for and report all financial resources not accounted for and reported in another fund. The General Fund heading as it appears in the financial statements includes the following accounts: General, Various Fire Departments, Courthouse Annex, Sanitation, and Drug Enforcement.

Road Fund - The Road Fund (Special Revenue Fund) is used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects. The Road Fund accounts for and reports proceeds of state highway turnback, property taxes, and sales taxes that are restricted or committed for maintaining and constructing roads.

Other Funds in the Aggregate - Other Funds in the Aggregate consist of all funds included in the financial statements except for the General and Road Funds. The following types of funds are included in this column as follows:

Special Revenue Funds - Special Revenue Funds are used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects. The following Special Revenue Funds are reported with other funds in the aggregate: Treasurer's Automation, Collector's Automation, Circuit Court Automation, District Court Automation, Assessor's Amendment no. 79, County Clerk's Cost, County Recorder's Cost, County Public Library, Support Collection Cost, Breathalyzer, District Court Jail Fee, Boating Safety, CMRS 911 Board (Commercial Mobile Radio Service), Victim/Witness, Public Defender, Juvenile Probation, Clark County Marina, District Court Cost, Jail Maintenance, Juvenile Work Supervision, Office of Emergency Services, Danfoss Arkansas Community and Economic Development (ACED) Grant, Group Living Arkansas Community and Economic Development (ACED) Grant, H & P Sales Grant, Communication Facility and Equipment, DeGray Fire Department, and Economic Development Corporation of Clark County (EDCCC).

Capital Projects Funds - Capital Projects Funds are used to account for and report financial resources that are restricted, committed, or assigned to expenditure for capital outlays, including the acquisition or construction of capital facilities and other capital assets. The Capital Projects Fund, Jail Construction, is reported with other funds in the aggregate.

Agency Funds - Agency Funds are used to account for assets held by the entity as an agent for individuals, private organizations, other governmental units, and other funds. The following Agency Funds are reported with other funds in the aggregate: Funds held by the County Treasurer – Treasurer's Commission, Collector's Commission, Common Schools, Law Library, Okolona School District, Improvement Tax, City of Whelen Springs - General, City of Gum Springs - General, City of Gum Springs - Street, Ross Drainage District; County Tax Collector – Current Tax, Delinquent Tax, Credit Card, and Protest; County Sheriff – Bond and Fine, Fees, Circuit Bond, and Commissary; County Clerk – Trust; Circuit Clerk – Fee and Trust; and County Judge – Sanitation.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2012

NOTE 1: Summary of Significant Accounting Policies (Continued)

C. Basis of Accounting

The financial statements are prepared on the regulatory basis of accounting as prescribed or permitted by Arkansas Code. This regulatory basis differs from accounting principles generally accepted in the United States of America. Revenues are recognized as soon as they are both measurable and available except for Treasurer's and Collector's commission and Taxes apportioned – Assessor's salary and expense which are recognized when earned. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days of the end of the current period. Expenditures generally are recorded when a liability is incurred. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due. As a result of the use of this regulatory basis of accounting, capital assets and long-term debt are not recorded in these financial statements.

D. Assets, Liabilities, and Fund Balances

Cash and Cash Equivalents

For the purpose of financial reporting, "cash and cash equivalents" includes all demand and savings accounts and certificates of deposit.

Settlements Pending

Settlements pending are considered property taxes, fines, forfeitures, costs, fees, commissions, and trust funds that have not been transferred to the appropriate entities.

Fund Balance Classifications

1. Restricted fund balance – amounts that are restricted when constraints placed on the use of resources are either (a) externally imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments; or (b) imposed by law through constitutional provisions or enabling legislation.
2. Committed fund balance – amounts that can only be used for specific purposes pursuant to constraints imposed by formal action of the Quorum Court.
3. Assigned fund balance – amounts that are constrained by the Quorum Court's intent to be used for specific purposes, but are neither restricted nor committed.
4. Unassigned fund balance – amounts that have not been assigned to other funds and that have not been restricted, committed, or assigned to specific purposes within the general fund. This classification may also include negative amounts in other governmental funds, if expenditures incurred for specific purposes exceeded the amounts restricted, committed, or assigned to those purposes.

E. Property Taxes

A lien attaches to the real property in January and on personal property in June of each year. Property taxes are collectible beginning the first business day of March of the subsequent year, but are not considered delinquent until after October 15.

F. Budget Law

1. Legal Requirements

State law requires that the Quorum Court, before the end of each fiscal year, make appropriations, by ordinance, for the expenditures of County government for the following year. The Quorum Court may make appropriation amendments at any time during the current fiscal year. Appropriations lapse at the end of each year. Under certain conditions, the budget may be amended subsequent to the year-end.

2. Accounting

The County prepared an annual budget on the regulatory basis for the General Fund, Road Fund, and the other Special Revenue Funds.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2012

NOTE 1: Summary of Significant Accounting Policies (Continued)

G. Fund Balance Classification Policies and Procedures

The County's highest level of decision-making authority is its Quorum Court. The establishment of amounts classified as committed fund balances and any subsequent modifications to such balances are the result of formal action taken by the Quorum Court through passage of an ordinance. The Quorum Court is authorized to assign amounts to a specific purpose, although a formal policy has not been established.

The County does not have a policy addressing whether it considers restricted or unrestricted amounts to have been spent when an expenditure is incurred for purposes for which both restricted and unrestricted amounts are available. For classification of fund balance amounts, restricted resources are considered spent before unrestricted. The County does not have a policy addressing which resources to use within the unrestricted fund balance when committed, assigned, or unassigned fund balances are available. When expenditures are incurred for purposes for which amounts in any of the unrestricted fund balance classifications could be used, committed amounts are reduced first, followed by assigned amounts, and then unassigned amounts.

NOTE 2: Cash

Deposit risks related to credit risk, concentration of credit risk, interest rate risk, and foreign currency risk have not been provided as required by Governmental Accounting Standards Board Statement no. 40.

NOTE 3: Legal or Contractual Provisions for Deposits and Investments

State law generally requires that county funds be deposited in federally insured banks located in the State of Arkansas. The county deposits may be in the form of checking accounts, savings accounts, and time deposits. Public funds may be invested in eligible investment securities having a maturity of not longer than 5 years from the date of acquisition unless, as documented at the time of acquisition, the investment is to fund or support a specific purpose and there are no expectations that the investment will be sold before maturity; an Arkansas bank certificate of deposit; an account established by a local government joint investment trust; or an Arkansas financial institution repurchase agreement for eligible investment securities in which the seller agrees to repurchase the investment at a price including interest earned during the holding period as determined by the repurchase agreement.

NOTE 4: Accounts Receivable

The accounts receivable balance at December 31, 2012 is composed of the following:

Description	General Fund	Road Fund	Other Funds in the Aggregate
State aid	\$ 73,687	\$ 81,104	\$ 6,723
Federal aid		167	11,935
Property taxes	30,316	6,965	8,546
Sales taxes	125,147	110,980	
Fines, forfeitures, and costs	15,062		13,246
Officers' fees	1,956		9,582
Prisoner care	37,954		3,762
Sanitation fees	30,377		4,772
Insurance premiums collected	477		
911 surcharges			48,500
Treasurer's commission	130,294		
Collector's commission	138,892		
Taxes apportioned - Assessor's salary and expense	3,392		
Other	22,055	10,550	2,164
Transfers	14,388		5,674
Totals	<u>\$ 623,997</u>	<u>\$ 209,766</u>	<u>\$ 114,904</u>

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2012

NOTE 5: Accounts Payable

The accounts payable balance at December 31, 2012 is composed of the following:

Description	General Fund	Road Fund	Other Funds in the Aggregate
Vendor payables	\$ 80,251	\$ 21,983	\$ 76,340

NOTE 6: Legal Debt Limit

A. Property Tax Secured Bonded Debt

The County is subject to a constitutional limitation for bonded indebtedness equal to 10% of the total assessed value for tax purposes of real and personal property as determined by the last tax assessment. At December 31, 2012, the legal debt limit for bonded debt was \$24,691,387. There were no property tax secured bond issues.

B. Short-term Financing Obligations

The County is subject to a constitutional limitation for short-term financing obligations equal to 2.5% of the assessed value of taxable property within the County as determined by the last tax assessment. At December 31, 2012, the legal debt limit for short-term financing obligations was \$6,921,354. The amount of short-term financing obligations was \$30,068 leaving a legal debt margin of \$6,891,286, respectively.

NOTE 7: Details of Fund Balance Classifications

Fund balance classifications at December 31, 2012 are composed of the following:

Description	General	Road	Other Funds in the Aggregate
Fund Balances:			
Restricted for:			
General government			\$ 341,344
Law enforcement	\$ 1,552		705,256
Highways and streets		\$ 3,873,499	
Public safety	3,369		807,836
Recreation and culture	6,450		313,834
Total Restricted	11,371	3,873,499	2,168,270
Committed for:			
General government	354,525		
Law enforcement			278,830
Capital projects			487,227
Total Committed	354,525		766,057
Assigned to:			
Sanitation	952,464		
Highways and streets		803	
Recreation and culture			6,838
Total Assigned	952,464	803	6,838
Unassigned	1,424,135		
Totals	\$ 2,742,495	\$ 3,874,302	\$ 2,941,165

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2012

NOTE 8: Commitments

Total commitments consist of the following at December 31, 2012:

	December 31, 2012
Long-term liabilities	\$ 495,099
Reappraisal contract	492,605
Total Commitments	<u>\$ 987,704</u>

Long-term Liabilities

Long-term liabilities at December 31, 2012 are comprised of the following:

	December 31, 2012
Landfill closure and postclosure care costs	\$ 442,485
Compensated absences	22,546
Note payable with Southern Bancorp for the purchase of two 2012 Dodge Charger patrol cars. Interest at 2.65% with three annual payments of \$15,644 beginning November 1, 2012. Payments are to be made from the General Fund.	 <u>30,068</u>
Total Long-term liabilities	<u>\$ 495,099</u>

Due to the County's regulatory basis of accounting, these liabilities are not recorded in the financial statements.

Landfill Closure and Postclosure Care Cost

Clark County is the owner of permit no. 044-S4 to operate a Class IV solid waste landfill. State and federal regulations require a final cover to be placed on the landfill site when the County stops accepting waste and to perform certain maintenance and monitoring functions at the site for two years after closure. Although closure and post closure care costs will be paid only near or after the date the landfill stops accepting waste, a portion of these closure and post closure care costs are being recognized as a commitment each year based on landfill capacity used as of the balance sheet date. The estimated commitment for the landfill closure and post closure care costs has a balance of \$442,485 as of December 31, 2012, and represents the cumulative amount reported to date based on 98% usage of the landfill. The County has made a lateral expansion for the Class IV solid waste into its 6 acre asbestos area. The area has an estimated remaining volume of 20,100 cubic yards which is estimated to exhaust 1.5 years from the balance sheet date.

Estimated costs are based on the amount that would be paid if all equipment, facilities and services required to close, monitor, and maintain the landfill were acquired as of December 31, 2012. However, the actual cost of closure and post closure may be higher due to inflation, changes in technology or changes in landfill laws and regulations.

The County has provided financial assurance for the closure and post closure care costs with an irrevocable letter of credit from Southern Bancorp Bank of Arkansas, dated May 23, 2009, in the amount of \$203,485 and in accordance Ark. Code Ann. § 8-6-1603; the County has provided financial assurance of \$182,245 in the form of a Contract of Obligation dated June 12, 2007. This Contract of Obligation authorizes the State Treasurer to withhold from any funds being distributed from the State of Arkansas to Clark County the sum of \$182,245 upon receiving notice from the Director of the Arkansas Department of Environmental Quality of Clark County's failure to properly disclose operation.

Post Employment Benefits Other Than Pensions

The amount of any actuarially determined accrued liability for post employment benefits other than pensions was not determined.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2012

NOTE 8: Commitments (Continued)

Debt Service Requirements to Maturity

The County is obligated for the following amounts at December 31, 2012:

<u>Years Ending December 31,</u>	<u>Note</u>
2013	\$ 15,644
2014	<u>15,645</u>
Total Obligations	31,289
Less Interest	<u>1,221</u>
Total Principal	<u><u>\$ 30,068</u></u>

Reappraisal Contract

The County entered into a contract dated January 4, 2011 with Total Assessment Solutions Corporation for reappraisal services. The terms of the contract require \$821,008 to be paid in 60 monthly installments of \$13,684 beginning January 15, 2011. Contract expense for 2012 was \$164,201.

The County is obligated for the following amounts:

<u>Year</u>	<u>December 31, 2012</u>
2013	\$ 164,202
2014	164,201
2015	<u>164,202</u>
Total	<u><u>\$ 492,605</u></u>

NOTE 9: Interfund Transfers

Transfers of \$21,388 were made from Other Funds in the Aggregate to the General Fund. Of this amount, \$7,000 was for reimbursement of law enforcement expenses (Jail Maintenance Fund), and \$14,388 was for reimbursement of public safety expenses (Office of Emergency Services Fund). A transfer of \$28,000 was made from the General Fund to the Other Funds in the Aggregate (Victim/Witness Fund) to fund law enforcement expenditures.

NOTE 10: Related Party Transactions

The County paid Wacaster Oil Company, Inc., \$422,297 for fuel and oil in 2012. County Judge Ron Daniell's uncle is distribution manager of Wacaster Oil Company, Inc. On June 11, 2003, the County established Ordinance no. 2003-10 authorizing purchases from Wacaster Oil Company, Inc.

The County paid Daniell Electric and Refrigeration \$21,015 for equipment and repairs in 2012. County Judge Ron Daniell's uncle is owner of Daniell Electric and Refrigeration. On June 11, 2003, the County established Ordinance no. 2003-11 authorizing purchases from Daniell Electric and Refrigeration.

The County paid Southwest Probation Services \$66,679 for probation services in 2012. Sheriff's part-time deputy, Chance Leamons, owns Southwest Probation Services. On April 15, 2008, the County established Ordinance no. 2008-02 authorizing payment of services to Southwest Probation Services.

The County paid Clark County District Court Judge Randy Hill \$9,600 to rent office space for the Public Defender in 2012. On October 15, 2013, the County established Ordinance no. 2013-10 authorizing a lease agreement between the Public Defender and Clark County District Court Judge Randy Hill.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2012

NOTE 11: Jointly Governed Organizations

A. Reuse Committee

The City of Arkadelphia and Clark County were co-recipients of a \$750,000 grant under the 1983 Arkansas State Stimulus Program. The funds were used as a loan to an industry – Exchange Parts of Arkansas. Exchange Parts of America, Inc., a/k/a Exchange Parts of Arkansas Inc., filed for Chapter Eleven Bankruptcy in 1991 listing as an outstanding debt, a balance of \$478,383 of the original \$750,000 Job Stimulus Loan. The remaining balance of the original \$750,000 grant continues to be used to stimulate economic development within Clark County.

A joint committee was formed to oversee the activities associated with the use of these funds. The committee is composed of two members from the Clark County Quorum Court appointed by the County Judge and two members from the City of Arkadelphia Board of Directors appointed by the Mayor. The funds are held by the Arkadelphia City Treasurer and are disbursed upon the direction of the committee.

The principal and interest payments received by the Reuse Committee are used as outlined in Article V of the Reuse of Proceeds Plan to pay for administrative costs, as matching funds to secure other funds for economic development, to construct for resale or lease industrial facilities and to provide loans to help finance industrial or commercial undertakings.

Annual written reports are to be submitted to the City of Arkadelphia Board of Directors, Clark County Quorum Court and Arkansas Industrial Development Commission. The Planning and Economic Development Division is covering the Committee's activities with regards to these funds.

The financial statements of the Reuse Committee have not been audited but may be obtained at 700 Clay, Arkadelphia, AR 71923.

B. Narcotics Enforcement Unit

The Prosecuting Attorneys of the Seventh and Ninth-(East) Judicial Districts, the Sheriff's Departments of Clark, Grant, and Hot Spring Counties, and the Police Departments of Malvern, Sheridan, and Arkadelphia entered into an agreement to establish the Group "6" Narcotics Enforcement Unit. The agreement covers the period July 1, 2012 to June 30, 2013 and may be extended upon written mutual agreement. Funding was provided through federal and state grants in addition to contributions from the participating entities. The County made no contributions to or on behalf of the Group "6" Narcotics Enforcement Unit in 2012. Separate financial statements for the Group "6" Narcotics Enforcement Unit are not available.

C. Southwest Arkansas Regional Intermodal Authority

Nevada, Clark, Montgomery, Pike, and Dallas Counties and the Cities of Gurdon, Prescott, Glenwood, Caddo Valley, Murfreesboro, Arkadelphia, Amity, and Fordyce entered into an agreement on May 18, 2010 to establish the Southwest Arkansas Regional Intermodal Authority pursuant to Ark. Code Ann. §§ 14-143-101 – 14-143-129. The Authority shall be governed by a board of directors consisting of eighteen members appointed by the participants' Mayors and County Judges. Each participating City will receive one member and each County will receive two members. Annual dues are \$2,000 per county and \$1,000 per city based on \$1,000 for each board member. Dues are payable in January of each year. No payments were made by the County to the Southwest Regional Intermodal Authority other than the annual membership dues of \$2,000.

D. Southwest Central Regional Solid Waste Management District

Pursuant to Act 752 of the Acts of Arkansas of 1991, the Southwest Central Regional Solid Waste Management District and Board were organized to protect public health and environmental quality for its service area by establishing a regional solid waste management system in Arkansas Counties of Clark, Garland, and Hot Spring. The District's board of directors is composed in accordance with the requirements of the Act and is comprised of representatives of the counties in the District and representatives of all first class cities, of all cities with a population over 2,000 and of the largest city of each county in the District. The County made no contributions to or disbursements on behalf of the District in 2012. The District paid Clark County \$8,781 for landfill services in 2012. Separate financial statements of the Southwest Central Regional Solid Waste Management District are available at 1000 Central Avenue, Hot Springs, AR, 71903.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2012

NOTE 12: Risk Management

The County is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; and natural disasters. These risks are covered by commercial insurance purchased from independent third parties and participation in a public entity risk pool. The amount of settlements, if any, has not exceeded the insurance coverage for each of the past three years. There were no significant reductions in insurance coverage in the major categories of risk from coverage in the prior year.

The County participates in the Association of Arkansas Counties Program (public entity risk pools) for coverage in the following area:

Workers' Compensation - This program provides statutory benefits for losses incurred by County officials, employees, and volunteer fire fighters while performing work for the County. Rates for counties participating in this program are revised annually based on the cost experience of the particular county or group as determined by the Workers' Compensation Commission.

The County participates in the Arkansas Public Entities Risk Management Association (APERMA) public entity risk pool for coverage in the following areas:

Building and Contents Program - This program is a blanket policy with coverage up to \$100,000,000 for any one loss with a \$500 deductible. The County shall pay into the program each year a charge established annually by the Risk Management Fund Board for covered county property.

Vehicle Program

- A. Liability - This program may pay all sums the County legally must pay as damages because of bodily injury, death, or property damage to which this agreement applies involving a covered county vehicle and for which the County is liable. The limit of payment for in-state claims is \$25,000 for bodily injury per person, \$50,000 for bodily injury per accident, and \$25,000 for property damage per accident (\$100,000 respectively for out-of-state claims). The County shall pay into the program each year a charge established annually by the Risk Management Fund Board for covered county vehicles owned or leased by the County.
- B. Physical Damage - This program covers vehicles and mobile equipment which are the property of the participating county. Property is valued at the cost to repair or replace the property after deduction for depreciation. Loss amounts will be reduced by the deductible amount of \$1,000 for Sheriff's Department vehicles and \$500 for all other covered vehicles and mobile equipment. The County agrees to pay into the program each year a service charge established annually by the Risk Management Fund Board for covered property.

General Liability Program - The program shall provide legal defense in civil rights suits against the county government of a participating county and pay judgments imposed on County officials and employees and the county government and county-formed boards and commissions. Coverage is limited to \$350,000 per case with an annual aggregate of \$350,000. The County shall pay into the program each year a charge established annually by the Risk Management Fund Board for this coverage.

The County also participates in the Self-Insured Fidelity Bond Program administered by the Governmental Bonding Board. This program covers actual losses sustained by the participating entity through any fraudulent or dishonest act or acts committed by any of the officials or employees, acting alone or in collusion with others, during the bond period to an amount not exceeding the lesser of \$250,000 or the amount of the bond. Premiums for coverage are determined by the State Risk Manager and approved by the Board. These premiums are paid by the State Treasurer from funds withheld from the County Aid Fund. There is a \$2,500 deductible per occurrence.

The County also participates in the Volunteers Insurance Service Association administered by CIMA Companies Inc. This program covers designated volunteers participating in volunteer projects through the County (Prisoner Work Release Program, Court Referred Alternative Sentencing Program, and Community Service Program) for accidental death and dismemberment coverage and accidental medical expense coverage. Coverage is limited to \$2,500 for accidental death and dismemberment and \$25,000 per case with a \$200 deductible per occurrence. These premiums are paid by the General Fund.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2012

NOTE 13: Arkansas Public Employees Retirement System

Plan Description

The County contributes to the Arkansas Public Employees Retirement System (PERS), a cost-sharing multiple-employer defined benefit pension plan. PERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State law and can be amended only by the Arkansas General Assembly. The Arkansas Public Employees Retirement System issues a publicly available financial report that includes financial statements and required supplementary information for PERS. That report may be obtained by writing to Arkansas Public Employees Retirement System, One Union National Plaza, 124 W. Capitol, Little Rock, Arkansas 72201 or by calling 1-800-682-7377.

Funding Policy

PERS has contributory and non-contributory plans. Contributory members are required by code to contribute 5% of their salary. Each participating employer is required by code to contribute at a rate established by the Board of Trustees of the system based on the annual actuarial valuation.

NOTE 14: Economic Development Corporation of Clark County, Arkansas

The Economic Development Corporation of Clark County, Arkansas (EDCCC) was established as authorized by Ark. Code Ann. §§14-175-101 - 14-175-116. The EDCCC was incorporated as a nonprofit organization on September 11, 2007, for the purpose of securing and developing industry and fostering economic development. On June 12, 2007, a one-half cent sales and use tax was approved for a period of seven years to be used solely for economic development. Accordingly, Clark County remits to the EDCCC the revenues derived from this tax which totaled \$1,461,271 in 2012. An audit report of the EDCCC has not been provided.

CLARK COUNTY, ARKANSAS
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
DECEMBER 31, 2012

Schedule 1

SPECIAL REVENUE FUNDS									
	Treasurer's Automation	Collector's Automation	Circuit Court Automation	District Court Automation	Assessor's Amendment no.79	County Clerk's Cost	County Recorder's Cost	County Public Library	Support Collection Cost
ASSETS									
Cash	\$ 19,011	\$ 183,695	\$ 23,365	\$ 30,893	\$ 29,138	\$ 10,341	\$ 19,442	\$ 285,182	\$ 24,432
Accounts receivable	1,525	48,503	217	181	2,559	1,030	8,534	13,221	10
TOTAL ASSETS	<u>\$ 20,536</u>	<u>\$ 232,198</u>	<u>\$ 23,582</u>	<u>\$ 31,074</u>	<u>\$ 31,697</u>	<u>\$ 11,371</u>	<u>\$ 27,976</u>	<u>\$ 298,403</u>	<u>\$ 24,442</u>
LIABILITIES AND FUND BALANCES									
Liabilities:									
Accounts payable	\$ 981						\$ 5,895	\$ 2,985	
Settlements pending								68	
Total Liabilities	<u>981</u>						<u>5,895</u>	<u>3,053</u>	
Fund Balances: (Note 7)									
Restricted	19,555	\$ 232,198	\$ 23,582	\$ 31,074	\$ 31,697	\$ 11,371	22,081	288,512	\$ 24,442
Committed								6,838	
Assigned									
Total Fund Balances	<u>19,555</u>	<u>232,198</u>	<u>23,582</u>	<u>31,074</u>	<u>31,697</u>	<u>11,371</u>	<u>22,081</u>	<u>295,350</u>	<u>24,442</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 20,536</u>	<u>\$ 232,198</u>	<u>\$ 23,582</u>	<u>\$ 31,074</u>	<u>\$ 31,697</u>	<u>\$ 11,371</u>	<u>\$ 27,976</u>	<u>\$ 298,403</u>	<u>\$ 24,442</u>

CLARK COUNTY, ARKANSAS
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
DECEMBER 31, 2012

Schedule 1

SPECIAL REVENUE FUNDS									
	Breathalyzer	District Court Jail Fee	Boating Safety	CMRS 911 Board (Commercial Mobile Radio Service)	Victim/Witness	Public Defender	Juvenile Probation	Clark County Marina	District Court Cost
ASSETS									
Cash	\$ 11,480	\$ 186,129	\$ 31,960	\$ 707,610	\$ 10,092	\$ 273,535	\$ 4,560	\$ 23,162	\$ 29,064
Accounts receivable	33	10,707	121	5,292	1,395	835		2,160	736
TOTAL ASSETS	<u>\$ 11,513</u>	<u>\$ 196,836</u>	<u>\$ 32,081</u>	<u>\$ 712,902</u>	<u>\$ 11,487</u>	<u>\$ 274,370</u>	<u>\$ 4,560</u>	<u>\$ 25,322</u>	<u>\$ 29,800</u>
LIABILITIES AND FUND BALANCES									
Liabilities:									
Accounts payable	\$ 321		\$ 103	\$ 6,092		\$ 470	\$ 456		\$ 1,857
Settlements pending									
Total Liabilities	<u>321</u>		<u>103</u>	<u>6,092</u>		<u>470</u>	<u>456</u>		<u>1,857</u>
Fund Balances: (Note 7)									
Restricted	11,192	\$ 196,836	31,978	706,810	\$ 11,487	273,900	4,104	\$ 25,322	27,943
Committed									
Assigned									
Total Fund Balances	<u>11,192</u>	<u>196,836</u>	<u>31,978</u>	<u>706,810</u>	<u>11,487</u>	<u>273,900</u>	<u>4,104</u>	<u>25,322</u>	<u>27,943</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 11,513</u>	<u>\$ 196,836</u>	<u>\$ 32,081</u>	<u>\$ 712,902</u>	<u>\$ 11,487</u>	<u>\$ 274,370</u>	<u>\$ 4,560</u>	<u>\$ 25,322</u>	<u>\$ 29,800</u>

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2012

Schedule 1

	SPECIAL REVENUE FUNDS					CAPITAL PROJECTS FUND
	Jail Maintenance	Juvenile Work Supervision	Office of Emergency Services	Communication Facility and Equipment	DeGray Fire Department	Jail Construction
ASSETS						
Cash	\$ 324,579	\$ 92,736	\$ 51,265	\$ 19,314	\$ 38,845	\$ 487,227
Accounts receivable	5,908	2	11,935			
TOTAL ASSETS	<u>\$ 330,487</u>	<u>\$ 92,738</u>	<u>\$ 63,200</u>	<u>\$ 19,314</u>	<u>\$ 38,845</u>	<u>\$ 487,227</u>
LIABILITIES AND FUND BALANCES						
Liabilities:						
Accounts payable	\$ 51,657	\$ 4,115	\$ 1,408			
Settlements pending			14,388			
Total Liabilities	<u>51,657</u>	<u>4,115</u>	<u>15,796</u>			
Fund Balances: (Note 7)						
Restricted		88,623	47,404	\$ 19,314	\$ 38,845	
Committed	278,830					\$ 487,227
Assigned						
Total Fund Balances	<u>278,830</u>	<u>88,623</u>	<u>47,404</u>	<u>19,314</u>	<u>38,845</u>	<u>487,227</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 330,487</u>	<u>\$ 92,738</u>	<u>\$ 63,200</u>	<u>\$ 19,314</u>	<u>\$ 38,845</u>	<u>\$ 487,227</u>

CLARK COUNTY, ARKANSAS
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
DECEMBER 31, 2012

Schedule 1

	AGENCY FUNDS						
	Treasurer's Accounts	Collector's Accounts	Sheriff's Accounts	County Clerk's Accounts	Circuit Clerk's Accounts	County Judge's Account	Totals
ASSETS							
Cash	\$ 655,984	\$ 220,975	\$ 71,623	\$ 25,234	\$ 282,782	\$ 30,377	\$ 4,204,032
Accounts receivable							114,904
TOTAL ASSETS	<u>\$ 655,984</u>	<u>\$ 220,975</u>	<u>\$ 71,623</u>	<u>\$ 25,234</u>	<u>\$ 282,782</u>	<u>\$ 30,377</u>	<u>\$ 4,318,936</u>
LIABILITIES AND FUND BALANCES							
Liabilities:							
Accounts payable							\$ 76,340
Settlements pending	\$ 655,984	\$ 220,975	\$ 71,623	\$ 25,234	\$ 282,782	\$ 30,377	1,301,431
Total Liabilities	<u>655,984</u>	<u>220,975</u>	<u>71,623</u>	<u>25,234</u>	<u>282,782</u>	<u>30,377</u>	<u>1,377,771</u>
Fund Balances: (Note 7)							
Restricted							2,168,270
Committed							766,057
Assigned							6,838
Total Fund Balances							<u>2,941,165</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 655,984</u>	<u>\$ 220,975</u>	<u>\$ 71,623</u>	<u>\$ 25,234</u>	<u>\$ 282,782</u>	<u>\$ 30,377</u>	<u>\$ 4,318,936</u>

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2012

Schedule 2

	SPECIAL REVENUE FUNDS									
	Treasurer's Automation	Collector's Automation	Circuit Court Automation	District Court Automation	Assessor's Amendment no.79	County Clerk's Cost	County Recorder's Cost	County Public Library	Support Collection Cost	Breathalyzer
REVENUES										
State aid					\$ 2,549			\$ 31,287		
Federal aid										
Property taxes								231,309		
Sales taxes										
Fines, forfeitures, and costs										\$ 1,108
Interest	\$ 94	\$ 1,237	\$ 162	\$ 213	201	\$ 65	\$ 145	1,802	\$ 163	78
Officers' fees			4,819	4,705		12,352	103,315		3,349	
911 surcharges										
Treasurer's commission	16,794									
Collector's commission		48,500								
Other							1,227	994		
TOTAL REVENUES	16,888	49,737	4,981	4,918	2,750	12,417	104,687	265,392	3,512	1,186
Less: Treasurer's commission	2	22	89	230	61	219	1,856	4,486	61	21
NET REVENUES	16,886	49,715	4,892	4,688	2,689	12,198	102,831	260,906	3,451	1,165
EXPENDITURES										
Current:										
General government	12,463	13,191				12,764	105,291			
Law enforcement			7,192	2,406						1,159
Public safety										
Recreation and culture								290,179		
TOTAL EXPENDITURES	12,463	13,191	7,192	2,406		12,764	105,291	290,179		1,159
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	4,423	36,524	(2,300)	2,282	2,689	(566)	(2,460)	(29,273)	3,451	6
OTHER FINANCING SOURCES (USES)										
Transfers in										
Transfers out										
Sales taxes remitted to Economic Development Corporation										
TOTAL OTHER FINANCING SOURCES (USES)										
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	4,423	36,524	(2,300)	2,282	2,689	(566)	(2,460)	(29,273)	3,451	6
FUND BALANCES - JANUARY 1	15,132	195,674	25,882	28,792	29,008	11,937	24,541	324,623	20,991	11,186
FUND BALANCES - DECEMBER 31	\$ 19,555	\$ 232,198	\$ 23,582	\$ 31,074	\$ 31,697	\$ 11,371	\$ 22,081	\$ 295,350	\$ 24,442	\$ 11,192

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2012

Schedule 2

	SPECIAL REVENUE FUNDS								
	District Court Jail Fee	Boating Safety	CMRS 911 Board (Commercial Mobile Radio Service)	Victim/Witness	Public Defender	Juvenile Probation	Clark County Marina	District Court Cost	Jail Maintenance
REVENUES									
State aid		\$ 3,194			\$ 2,425				
Federal aid			\$ 47,236						
Property taxes									\$ 12,361
Sales taxes									
Fines, forfeitures, and costs	\$ 69,319			\$ 41,116	25,119			\$ 20,254	
Interest	1,084	220	4,647	79	1,867	\$ 32	\$ 275	200	3,979
Officers' fees									
911 surcharges			204,638						
Treasurer's commission									
Collector's commission									
Other			156	25			19,682		5,515
TOTAL REVENUES	70,403	3,414	256,677	41,220	29,411	32	19,957	20,454	21,855
Less: Treasurer's commission	1,338	64	3,288	702	477	1	347	375	492
NET REVENUES	69,065	3,350	253,389	40,518	28,934	31	19,610	20,079	21,363
EXPENDITURES									
Current:									
General government									
Law enforcement	2,832			66,195	24,465	456		22,114	495,392
Public safety		2,270	208,265						
Recreation and culture							49,004		
TOTAL EXPENDITURES	2,832	2,270	208,265	66,195	24,465	456	49,004	22,114	495,392
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	66,233	1,080	45,124	(25,677)	4,469	(425)	(29,394)	(2,035)	(474,029)
OTHER FINANCING SOURCES (USES)									
Transfers in				28,000					
Transfers out									(7,000)
Sales taxes remitted to Economic Development Corporation									
TOTAL OTHER FINANCING SOURCES (USES)				28,000					(7,000)
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	66,233	1,080	45,124	2,323	4,469	(425)	(29,394)	(2,035)	(481,029)
FUND BALANCES - JANUARY 1	130,603	30,898	661,686	9,164	269,431	4,529	54,716	29,978	759,859
FUND BALANCES - DECEMBER 31	\$ 196,836	\$ 31,978	\$ 706,810	\$ 11,487	\$ 273,900	\$ 4,104	\$ 25,322	\$ 27,943	\$ 278,830

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2012

Schedule 2

	SPECIAL REVENUE FUNDS							CAPITAL PROJECTS FUND	
	Juvenile Work Supervision	Office of Emergency Services	Danfoss Arkansas Community and Economic Development (ACED) Grant	Group Living Arkansas Community and Economic Development (ACED) Grant	H & P Sales Grant	Communication Facility and Equipment	DeGray Fire Department	Economic Development Corporation of Clark County (EDCCC)	Jail Construction
REVENUES									Totals
State aid							\$ 54,571		\$ 94,026
Federal aid		\$ 107,411	\$ 1,050	\$ 28,225					183,922
Property taxes									243,670
Sales taxes								\$ 1,461,271	1,461,271
Fines, forfeitures, and costs									156,916
Interest	\$ 751	265				\$ 34			20,665
Officers' fees						4,348			132,888
911 surcharges									204,638
Treasurer's commission									16,794
Collector's commission									48,500
Other		3,341				10,115			41,055
TOTAL REVENUES	751	111,017	1,050	28,225		14,497	54,571	1,461,271	2,604,345
Less: Treasurer's commission	13								14,144
NET REVENUES	738	111,017	1,050	28,225		14,497	54,571	1,461,271	2,590,201
EXPENDITURES									
Current:									
General government			1,050	28,225	\$ 1				172,985
Law enforcement	25,623	18,016				25,053			690,903
Public safety		86,001					15,726		312,262
Recreation and culture									339,183
TOTAL EXPENDITURES	25,623	104,017	1,050	28,225	1	25,053	15,726		1,515,333
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	(24,885)	7,000			(1)	(10,556)	38,845	1,461,271	1,074,868
OTHER FINANCING SOURCES (USES)									
Transfers in									28,000
Transfers out		(14,388)							(21,388)
Sales taxes remitted to Economic Development Corporation								(1,461,271)	(1,461,271)
TOTAL OTHER FINANCING SOURCES (USES)		(14,388)						(1,461,271)	(1,454,659)
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(24,885)	(7,388)			(1)	(10,556)	38,845		(379,791)
FUND BALANCES - JANUARY 1	113,508	54,792			1	29,870			3,320,956
FUND BALANCES - DECEMBER 31	\$ 88,623	\$ 47,404	\$ 0	\$ 0	\$ 0	\$ 19,314	\$ 38,845	\$ 0	\$ 2,941,165

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2012

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
Treasurer's Automation	Ark. Code Ann. § 21-6-302 established fund to receive up to 10% of Treasurer's gross commissions to operate the Treasurer's office and to purchase, maintain, and operate an automated record keeping system.
Collector's Automation	Ark. Code Ann. § 21-6-305 established fund to receive up to 10% of Collector's gross commissions to operate the Collector's office and to purchase, maintain, and operate an automated record keeping system.
Circuit Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive 50% of all revenues collected from installment fees by the Circuit Court to be used for court related technology expenditures.
District Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive District Court installment fees of 1/2 of \$5 per month on each person to be used for court related technology.
Assessor's Amendment no.79	Ark. Code Ann. § 26-26-310 provides that one percent of the County's share of surplus funds from the Property Tax Relief Trust Fund be allocated to county assessors for the purpose of administering Arkansas Constitution, Amendment no. 79.
County Clerk's Cost	Ark. Code Ann. §§ 21-6-413, 16-20-407 established fund to receive fees collected by county clerks to be used for automated record systems.
County Recorder's Cost	Ark. Code Ann. § 21-6-306 established fund to receive fees collected by circuit clerks to be used for automated record systems.
County Public Library	Ark. Code Ann. § 13-2-404 established fund to account for library property tax millage levied by the Quorum Court.
Support Collection Cost	Ark. Code Ann. § 9-10-109 established fund to receive fees to offset administrative costs in the Clerk's office.
Breathalyzer	Ark. Code Ann. § 16-10-307 established the County Administration of Justice Fund which continued to finance this fund used for the acquisition and operation of intoxication detection equipment.
District Court Jail Fee	Ark. Code Ann. § 12-41-505 established fund to receive a \$20 booking and administration fee assessed on persons convicted of a Class A misdemeanor to be used exclusively for the maintenance, operation, and capital expenditures of a county jail or regional detention facility. Clark County Ordinance no. 2009-2 (June 9, 2009) (pursuant to Ark. Code Ann. § 16-17-129) levies an additional \$20 fine on traffic violations to be used to defray costs of incarcerating prisoners.
Boating Safety	Ark. Code Ann. § 27-101-111 established fund to receive fees to be used for operating a patrol on the waterways within a County or for emergency rescue services if the county has not established a patrol.
CMRS 911 Board (Commercial Mobile Radio Service)	Ark. Code Ann. § 12-10-318 established fund to receive fees collected by telephone providers for 911 emergency services.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2012

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
Victim/Witness	Ark. Code Ann. § 16-21-151 established fund to receive District Court cost levied to be used by Prosecuting Attorney for operating victim/witness program.
Public Defender	Ark. Code Ann. § 14-20-102 established fund to receive funds distributed in accordance with Ark. Code Ann. § 16-10-307 to be used to pay reasonable and necessary costs incurred in the defense and representation of indigent persons. Ark. Code Ann. § 17-19-301 authorized a bail bond fee of \$20 to be collected, which shall all be remitted to the Arkansas Public Defender Commission. Three dollars of each fee is remitted back to the County "Public Defender User Fees" quarterly to be used to defray the operating expenses of the public defender office.
Juvenile Probation	Ark. Code Ann. § 16-13-326 established fund to collect juvenile fees and provide services and supplies to juveniles at the discretion of the Juvenile Division of Circuit Court.
Clark County Marina	Clark County Ordinance no. 2007-12 (September 11, 2007) established fund to receive a percentage of revenues from the sub-lease of property on DeGray Lake to be used for continued development of the public use areas on DeGray Lake as required by the Army Corp of Engineers.
District Court Cost	Ark. Code Ann. § 16-17-126 authorizes District Court filing fees for writs of garnishment and executions to be appropriated for any permissible use in the administration of the District Court.
Jail Maintenance	Clark County Ordinance no. 2009-6 (September 14, 2009) established fund to receive revenue collections from general purpose property tax. Expenditures are limited to maintenance of the jail.
Juvenile Work Supervision	Clark County Ordinance no. 2009-3 (October 15, 2009) established fund to receive Ross Foundation grant funds for reimbursable expenditures for supervision of juvenile probation program.
Office of Emergency Services	Established to receive federal and state aid to be used for occurrence of a major emergency or disaster.
Danfoss Arkansas Community and Economic Development (ACED) Grant	Clark County Ordinance no. 2011-2 (March 14, 2011) established fund to receive grant money from the Arkansas Community and Economic Development Program.
Group Living Arkansas Community and Economic Development (ACED) Grant	Clark County Ordinance no. 2011-2 (March 14, 2011) established fund to receive grant money from the Arkansas Community and Economic Development Program.
H & P Sales Grant	Clark County Ordinance no. 2007-12 (September 11, 2007) established fund to receive grant funds from the Arkansas Community and Economic Development Program to be used for construction of a facility for H & P Sales in Clark County.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2012

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
Communication Facility and Equipment	Ark. Code Ann. §§ 21-6-307, 12-41-105 established fund to receive 25% of sheriff's fees collected and phone commission funds to be used for communications equipment and repair and to train operations staff.
DeGray Fire Department	Ark. Code Ann. § 14-284-403 requires fire protection premium tax funds to be distributed by the county to local fire districts for equipping, training, capital improvements, and other expenditures.
Economic Development Corporation of Clark County (EDCCC)	Established to receive and remit a one-half cent sales and use tax to EDCCC to be used solely for economic development. The sales tax was approved by voters on June 12, 2007 for a period of seven years.
Jail Construction	Clark County Ordinance no. 2005-01 (February 15, 2005) established fund with revenues from the sale of General Revenue promissory notes to be used for the expansion of current jail facilities or construction of a new jail.

Treasurer's accounts consist primarily of commissions and property taxes not yet distributed to the appropriate entities.

Collector's accounts consist primarily of delinquent taxes not yet distributed to the various taxing units and funds held in protest of taxes.

Sheriff's accounts consist primarily of fees settlement, bond, and inmate trust money.

County Clerk's accounts consist of trust money awaiting disposition by the applicable court.

Circuit Clerk's accounts consist of trust money and settlements due to Treasurer.

County Judge's account consists of sanitation fees collected but not yet settled with the Treasurer.

CLARK COUNTY, ARKANSAS
OTHER INFORMATION
SCHEDULE OF CAPITAL ASSETS
DECEMBER 31, 2012
(Unaudited)

Schedule 3

	<u>December 31, 2012</u>
Land	\$ 523,084
Buildings	6,669,742
Infrastructure	94,472
Improvements	25,269
Equipment	<u>8,142,537</u>
Total	<u><u>\$ 15,455,104</u></u>

CLARK COUNTY, ARKANSAS
SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - REGULATORY BASIS
DECEMBER 31, 2012
(Unaudited)

Schedule 4

<u>General</u>	<u>2012</u>	<u>2011</u>	<u>2010</u>	<u>2009</u>	<u>2008</u>
Total Assets	\$ 2,823,262	\$ 2,449,768	\$ 1,367,377	\$ 1,557,020	\$ 1,857,749
Total Liabilities	80,767	103,946	49,583	106,837	158,930
Total Fund Balances	2,742,495	2,345,822	1,317,794	1,450,183	1,698,819
Net Revenues	4,864,864	4,520,284	3,820,661	3,870,831	3,899,885
Total Expenditures	4,461,579	4,303,994	3,954,212	4,164,683	4,110,205
Total Other Financing Sources/Uses	(6,612)	21,320	1,162	45,216	82,644
<u>Road</u>					
Total Assets	\$ 3,896,342	\$ 3,823,716	\$ 3,865,134	\$ 3,496,964	\$ 3,223,104
Total Liabilities	22,040	57,775	60,657	133,802	12,751
Total Fund Balances	3,874,302	3,765,941	3,804,477	3,363,162	3,210,353
Net Revenues	2,613,164	2,667,347	2,965,520	2,737,528	2,836,732
Total Expenditures	2,504,803	2,705,883	2,524,205	2,584,719	2,871,768
Total Other Financing Sources/Uses					
<u>Other Funds in the Aggregate</u>					
Total Assets	\$ 4,318,936	\$ 4,379,908	\$ 4,947,443	\$ 4,825,202	\$ 4,563,186
Total Liabilities	1,377,771	1,053,510	858,338	1,145,149	1,112,841
Total Fund Balances	2,941,165	3,326,398	4,089,105	3,680,053	3,450,345
Net Revenues	2,590,201	1,749,619	2,129,710	1,980,400	3,746,207
Total Expenditures	1,515,333	1,707,999	1,719,496	1,705,476	4,115,168
Total Other Financing Sources/Uses	(1,454,659)	(21,320)	(1,162)	(45,216)	(82,644)